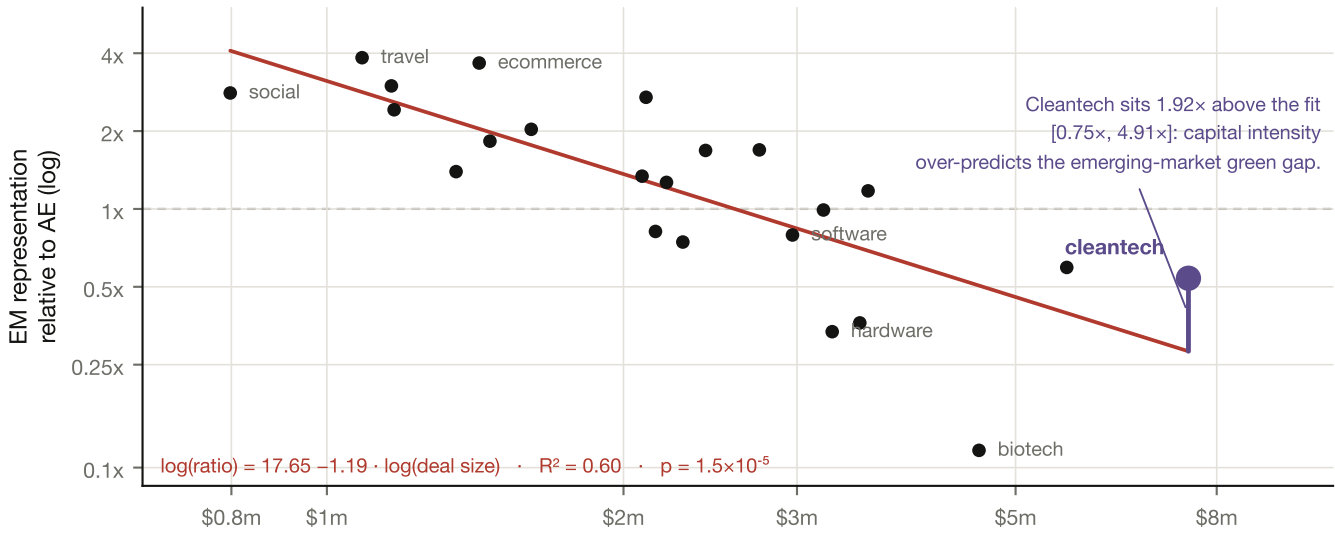
Emerging-market representation falls roughly in proportion to capital intensity

23 sectors, 2000–2012. Elasticity −1.19 [−1.64, −0.75].



Source: Crunchbase 2013 Snapshot (CC BY 4.0); author's calculations. 23 sectors with ≥15 emerging-market and ≥30 advanced-economy deals, from n = 41,105 deals. The capital-intensity proxy uses advanced-economy deals only, so it cannot be contaminated by the emerging-market composition it explains. Ordinary least squares on logs; the line is the model's fitted values. The secondary proxy, median cumulative funding per company, gives an elasticity of −0.96 with R-squared 0.69.